

M.P.Housing & Infrastructure Dev. ... vs Smt.Anuradha Pariekh on 21 March, 2023

Daily Order

M. P. STATE CONSUMER DISPUTES REDRESSAL COMMISSION,

PLOT NO.76, ARERA HILLS, BHOPAL

FIRST APPEAL NO. 2190 OF 2017

(Arising out of order dated 23.08.2017 passed in C.C. No. 130/2014 by District Commission)

M.P HOUSING AND INFRASTRUCTURE

DEVELOPMENT BOARD,

THROUGH ESTATE OFFICER,

DIVISION-RATLAM (M.P.)

Versus

SMT. ANURADHA (NAGAR) PARIKH,

W/O DR. N. L. PARIKH,

R/O M-3, KITIYANI, MANDSAUR (M.P.)

...

BEFORE :

HON'BLE SHRI A. K. TIWARI : PRESIDING MEMBER

HON'BLE DR. SRIKANT PANDEY : MEMBER

COUNSEL FOR PARTIES :

None for the appellant.

Respondent in person.

O R D E R

(Passed On 21.03.2023)
Tiwari, Presiding Member:

The following order of the Commission was delivered by A. K.

The opposite party/appellant M. P. Housing Board has filed this appeal against the order dated 23.08.2017 passed in C.C.No.130/2014 by the District Consumer Disputes Redressal Commission, Mandsaur whereby the complaint filed by the complainant/respondent has been allowed.

2. Facts of the case in short as stated by the complainant/respondent are that the opposite party housing board advertised in Hindi newspaper 'Nai Duniya' dated 22.10.2010 regarding scheme for 35 houses in Gandhi Nagar, Mandsaur. It was self-financing scheme costing Rs.12,59,000/- for a MIG house. On the basis of said advertisement, the complainant after depositing registration amount of Rs.1,25,200/- got herself registered and applied for a MIG house under the scheme. Thereafter she had deposited Rs.3,78,000/- as first instalment. It is alleged by the complainant that despite depositing part payment of cost of the MIG house, Rs.5,03,200/-, the opposite party committed deficiency in service in not allotting the MIG house to the complainant on earlier rate Rs.12,59,000/- and by escalating the cost of the house. She therefore filed a complaint before the District Commission alleging deficiency in service on part of opposite party-housing board seeking relief of amount of Rs.5,03,200/- with interest @ 14% p.a. to be adjusted in cost of the house along with compensation of Rs.15,00,000/-.

3. The opposite party Housing Board resisted the complaint stating that after registration tenders were invited for two group of constructions I-15/35 and II-20/35. Tenders were received for construction of the 15 houses, however, no tender was received for construction of rest of the 20 houses. To expedite the work tender for 15 houses was accepted and construction was started. Since the construction work of 15 houses was in progress, in the interest of applicants, it was decided to allot the 15 houses to the applicants through lottery. The information of lottery for 15 houses was sent to all 35 applicants including the complainant. The complainant could not be selected in the open lottery process. Since the construction work of rest 20 houses was started much after the construction of 15 houses, and by that time cost of construction material was increased and therefore, the cost of the house was revised to Rs.22,95,000/-. In the advertisement only estimated cost of the house was given. The complainant got registered herself for house and had deposited registration fees, as also the first instalment but could not be selected in the lottery for first 15 houses. There is no deficiency in service on part of the opposite party-housing board. It is therefore prayed that the complaint be dismissed.

4. The District Commission allowed the complaint directing the opposite party to allot and

give possession of the house to the complainant at the rate on which 15 other applicants were allotted houses, within a period of six months after recovering the remaining amount from her. Compensation of Rs.5,000/- along with cost of Rs.2,000/- has also been awarded.

5. We have heard complainant/respondent and have gone through the written arguments filed by the opposite party/appellant. Perused the record of the District Commission.

6. Learned counsel for the appellants-housing board in the written arguments has submitted that the impugned order passed by the District Commission is against the facts and settled principle of law and deserves to be set-aside. It is submitted that every housing scheme, its execution, rules related to any scheme have statutory enforceability under the M.P.Housing and Infrastructure Development Board Act, 1972. It clearly demonstrates that any rules/circulars published/issued by the Board in relation to any housing scheme have legal enforceability and binding on the persons, who have verified these rules and instructions issued time to time in relation the scheme with their signature and application form. The District Commission failed to consider this legal position. In a self-financing scheme costing plays an important role. An applicant cannot be permitted to buy a house at a price which is less than the actual construction cost. The disputes regarding escalation in price are not entertainable before the District Commission constituted under the Consumer Protection Act, 1986 (for short the 'Act'). The scheme of the Board is based on 'no profit no loss' basis and without any commitment of delivery of possession. The complainant neither alleged nor proved that there has been any negligence, short comings or inadequacy on part of Board. Reliance was placed on the decisions of the Hon'ble Supreme Court in Kanpur Development Authority Vs Sheela Devi I (2004) CPJ 12 (SC), Bangalore Development Authority Vs Syndicate Bank II (2007) CPJ 21 (SC), and decision of Hon'ble National Commission in Sudha Nagla Vs Rajasthan Housing Board IV (2016) CPJ 63 (NC) and decision of this Commission in K. B. Joshi Vs M. P. Housing Board, IV (2009) CPJ 442.

7. Complainant/Respondent, who appears in person argued that the District Commission after considering all aspects had passed a well-reasoned order as the opposite party has committed deficiency in service in escalating the cost of the house and in not allotting and giving possession of the house in rate as shown earlier, to the complainant. It is therefore prayed that the appeal be dismissed.

8. After hearing complainant/respondent and on perusal of record and written arguments filed by the opposite party/appellant we find that for 35 MIG houses, applications were invited by the opposite party and the complainant also applied for the same after depositing the registration amount and thereafter first instalment. For the purposes of construction two tenders one for 15 houses and second for 20 houses were invited. Since the construction work of 15 houses was started, therefore, in the interest of justice, open lottery system for 15 houses was conducted in which the complainant was also participated, however, she could not be selected. The 15 applicants who were selected in the lottery system were allotted 15 houses. Later, construction of 20 houses was started. Since the construction work of rest 20 houses was started much after the construction of 15 houses,

and by that time cost of construction material was increased and therefore, the cost of the house was revised to Rs.22,95,000/-. From the advertisement (C-13) we find there is specific mention of only estimated cost and not of final cost.

9. The complainant got registered herself for house and had deposited registration fees, as also the first instalment but could not be selected in the lottery for first 15 houses. At the time of registration a Rule Book "Nirdeshika" had already been given to the complainant which contains rules describing the various conditions. In the said rule book, in Rule-1, it is categorically mentioned that the rates are fluctuating and the amended terms amended from time to time will be binding on the applicant/allottee. In case of disagreement, the applicant/allottee is at liberty to withdraw the deposited amount with interest. It is expected from the complainant that she/he may get information regarding registration, allotment, possession of the scheme.

10. From the record we find that out of 35 applicants, the housing board after conducting open lottery system allotted the 15 house to the applicants who were selected in the lottery. We do not find that there was any discrimination on part of the housing board.

11. So far as the cross appeal in form of cross objections filed by the complainant/respondent under Order 41 Rule 22 of CPC are concerned, it is well settled principle that cross appeal in form of cross objections does not lie. See the decision of the Hon'ble National Commission in EE (O&M) Tamilnadu Electricity Board Vs K. R. Mani III (1995) CPJ 46 (NC)

12. In Sheela Devi (supra) Hon'ble Supreme Court has held that "Each case is to be decided in the facts and circumstances of the case in the light of the scheme framed and the terms and conditions mentioned in the brochure." In Bangalore Development Authority (supra) the Hon'ble Supreme Court has held that "Where the plot/flat/house has been allotted at a tentative or provisional price, subject to final determination of price on completion of the project, the Development Authority will be entitled to revise or increase the price."

13. It is pertinent to mention here that the main issue involved in the matter is regarding escalation of cost/pricing. We are in full agreement with the arguments of the opposite party/appellant housing board in the written arguments that it is well settled that the Consumer Forums cannot go into the question of pricing of houses/flats and hence we also refrain to deal with the issued involved in the matter.

14. The Hon'ble National Commission in case of Managing Director, Cooperative Housing Complex of Housefed, Punjab Vs Gurudev Singh Azad 2018 SCC OnLine NCDRC 74 in para 11 has held:

Having regard to the catena of judgments of the Hon'ble Supreme Court, there is force in the contention of the learned counsel for the Appellant that the 'Consumer For a' do not have jurisdiction to decide the pricing of the Housing Sector.

15. Similarly, the Hon'ble National Commission in case of Rasheed Ahmed Usmani and Others Vs DLF Ltd 2019 SCC OnLine NCDRC 84. in para 442 has reproduced the law laid down by the National Commission in earlier decision of (Three Member Bench) in Manohar Lal Sharma Vs D. D. A. I (1994) CPJ 29 (NC) that:

"After adverting to the relevant decisions on the point this Commission held that the question of pricing cannot be gone into by the Consumer Forums since the price of the flats is not fixed by any law and that even if any excess charge has been collected by way of price that will not constitute a ground for contending that there is a deficiency in service on the part of the opposite party."

16. In Sudha Nagla (supra) the Hon'ble National Commission has held that question of costing or price fixation of flats/houses or land by a public authority is not within the purview of courts. Similar view has been taken by this Commission in First Appeal No.341/2013 and other connected First Appeals (M.P.Housing & Infrastructure Development Board Vs Smt. Saroj Agrawal) decided on 22.08.2022.

17. In view of the aforesaid settled position of law, the impugned order passed by the District Commission cannot be sustained and is hereby set-aside.

18. In the result, the appeal is allowed. However, no order as to costs.

(A. K. Tiwari)

(Dr. Srikant Pandey)

Presiding Member

Member